

Lesson 8 — ROS, WOS & Sell-Through

Three practical measures that help a fashion retailer understand how quickly inventory is selling

1. ROS — Rate of Sale

ROS tells you how much product is selling in a defined period. For a weekly unit model: $ROS = \text{Units Sold} \div \text{Number of Weeks}$. Example: 120 units sold over 4 weeks = 30 units per week.

ROS can be measured in units or value. Always specify the period and unit of measurement when comparing ROS.

2. WOS — Weeks of Supply

WOS estimates how many weeks the current inventory can support at the current sales rate. Simple formula: $WOS = \text{Closing Stock} \div \text{Weekly ROS}$. Example: 150 units in stock with ROS of 30 units per week = 5 WOS.

A falling WOS is not automatically good or bad. The right cover depends on demand, lead time, seasonality and the retailer's stock strategy.

3. Sell-Through %

Sell-through measures how much of the available inventory has sold. A common simplified formula is: $\text{Sell-through \%} = \text{Units Sold} \div (\text{Opening Stock} + \text{Receipts}) \times 100$.

Example: opening stock 500 units + receipts 300 units = 800 available units. If 400 units sell, sell-through is 50%. Definitions vary across retailers, so use a consistent definition.

How the three measures work together

ROS tells you the speed of selling. WOS tells you how long the current stock can support that speed. Sell-through tells you how much of the available inventory has already sold.

Illustrative example

Category	Stock	4-Week Sales	ROS / Week	WOS	Sell-through
Fast Seller	120	160	40	3.0	57.1%
Core Seller	200	120	30	6.7	37.5%
Slow Seller	300	40	10	30.0	11.8%

Using the measures for action

High ROS + low WOS can indicate a need to review replenishment or future intake. Low ROS + high WOS can indicate excess cover and may require a review of allocation, promotion, markdown or future receipts. These are decision signals, not automatic rules.

Practical exercise

Use the Excel workbook to enter opening stock, receipts and weekly sales for multiple products. Calculate ROS, WOS and sell-through. Sort or review the results and write an action for each product based on its sales speed and stock cover.

Key takeaway

ROS measures selling speed, WOS measures remaining cover and sell-through measures inventory conversion. Together they help a planner decide what needs replenishment, attention or exit action.